

THE SESSION • POST-CLOSE READ

The Tape *Divides*

Wall Street returned from Labor Day to a Dow-led decline — -628 points — as Brent pressed toward \$100 and September hike odds firmed near 58%. Beneath the averages, AI infrastructure and commodity producers advanced while software and rate-sensitive names gave ground: Growth Portfolio -0.32% beat IUSG, Dividend Strategy -1.29% trailed both benchmarks.

S&P 500 ▼ 0.58%

NASDAQ ▼ 0.31%

DOW ▼ 1.18%

VIX 15.7

BRENT ▲ \$99

DIVIDEND STRATEGY

▼ TRAILED DVY + SPY

-1.29%

1-DAY

FCI		-1.29%
DVY		-0.57%
SPY		-0.57%

YTD +20.76% vs DVY +17.52% · SPY +12.90%

GROWTH PORTFOLIO

▲ BEAT IUSG

-0.32%

1-DAY

FCI		-0.32%
IUSG		-0.51%

YTD +23.81% vs IUSG +13.96%

THE SESSION

The first cash session after Labor Day resolved the morning's three overnight variables — a live Canadian counter-tariff schedule, an extended Middle East supply disruption, and a repriced rate path — into a Dow-led decline of 628 points. The S&P 500 eased 0.58% and the Nasdaq held its dip to 0.31%, while the Dow's 1.18% drop concentrated the day's pressure in industrial, financial, and consumer blue chips. Brent traded as high as roughly \$99 during the session after Houthi strikes halted operations at Saudi facilities near Jazan, the 10-year Treasury yield held near 4.77% — close to three-year highs — and futures markets priced roughly a 58% probability of a quarter-point hike at next week's FOMC meeting. Thursday's August PPI and Friday's CPI now stand between this tape and that decision.

The more instructive story sat beneath the index level, where the session divided along a single question: who bears rising input costs, and who collects them. Semiconductor and data-center names advanced against the falling market — AMD closed above \$500, TSM added 2.35%, and LRCX extended Friday's gain — while enterprise software fell for a second straight session after OpenAI's GPT-6 Astra launch revived the argument that general-purpose models can absorb work now sold by specialized vendors. The S&P software and services index lost about 1.5%, and that pressure reached NOW, SSNC, and ADP inside our book. On the other side of the ledger, LME copper touched an intraday record near \$14,694 a ton, carrying FCX up more than 5%, while CVX, OKE, and NTR advanced with the energy and materials complex.

The same barrel of crude that unsettles an index is a revenue line to the company that produces it. Ownership means holding both sides of that ledger on purpose.

For the sleeves, the dispersion cut as the composition would predict. The Dividend Strategy gave back 1.29%, trailing DVY and SPY at -0.57% apiece, with the day's pressure concentrated in healthcare and services — SYK, ABT, ADP, SPGI — rather than anything cyclical; CAT, LMT, NTR, and QCOM all finished green inside the same sleeve. The Growth Portfolio eased just 0.32% and finished ahead of IUSG, carried by its AI-infrastructure and commodity exposure against declines in fintech and software. The year-to-date standing absorbed the day with-

out incident: the Dividend Strategy holds +20.76%, a +3.24-point spread over DVY, and the Growth Portfolio holds +23.81%, a +9.85-point spread over IUSG. The morning brief framed this reopen as likely to produce sharper session-level dispersion than any one variable would alone; that is what the closing print delivered, and the same variables now roll forward into Thursday's PPI, Friday's CPI, and the September 15–16 FOMC meeting.

FCI HOLDINGS · NOTABLE MOVERS

WINNERS

HUT +6.36%

GROWTH

Extended its AI data-center re-rating even as bitcoin slipped below \$80,000 — the contracted infrastructure lease book, not the coin, is carrying the equity.

AMD +5.90%

GROWTH

Closed above \$500 as management framed its addressable market near \$3 trillion; the AI-accelerator bid extended Friday's advance on 107% data-center growth.

FCX +5.36%

GROWTH

LME copper touched an intraday record near \$14,694 a ton on tightening mine supply; each 10-cent move in copper is worth roughly \$390 million of annual EBITDA to Freeport.

DECLINERS

SYK -8.81%

DIVIDEND

CFO Preston Wells told the Wells Fargo Healthcare Conference the peripheral-vascular supply constraint now extends into the fourth quarter, with joint-replacement trends recovering slower than planned; shares touched a 52-week low.

NOW -4.99%

GROWTH

Fell with the enterprise-software group as OpenAI's GPT-6 Astra launch revived displacement concern; the S&P software index declined a second straight day.

HOLDINGS NEWS

Stryker details a longer supply timeline. Speaking at the Wells Fargo Healthcare Conference, CFO Preston Wells said manufacturing constraints in the peripheral-vascular business are still preventing full inventory supply to customers and limiting new-business wins, and that resolution — previously expected in the third quarter — now extends into the fourth. He also noted joint replacement showed its usual summer seasonality rather than the recovery the company had anticipated, with a better September expected. Shares finished at \$276.43,

touching a 52-week low intraday. This is an execution item, not a franchise question — but it is the second consecutive quarter the supply timeline has moved, and we will treat the Q3 report as the test of whether it moves again.

Qualcomm and Amazon align on AI infrastructure. Qualcomm announced an agreement with Amazon to develop custom AI chips and support the build-out of AWS AI infrastructure, pairing its power-efficient silicon and system-integration work with Amazon's compute de-

mand. Shares added 3.17% on a down tape. For a position we hold in the Dividend Strategy for its cash generation, the agreement extends the optionality beyond handsets into the data center — the side of the

AI trade the market paid for today.

YEAR-TO-DATE STANDING

DIVIDEND STRATEGY

+20.76%

vs DVY +17.52% / SPY +12.90%

Spread vs DVY +3.24 pts

GROWTH PORTFOLIO

+23.81%

vs IUSG +13.96%

Spread vs IUSG +9.85 pts